Meridian Actuarial Advisors LLC

www.meridianactuarial.com

January 25, 2019

Barbara Hall
Chief Operating Officer
Estes Group

Dear Ms. Hall:

This letter sets out the terms on which we will perform an experience study of the retirement plan sponsored by Estes Group. It records what we have agreed to do, what we will rely on, the standards the work is performed under, and the commercial terms that govern it. If it reflects your understanding, please countersign and return one copy to me.

Scope of Work

An experience study asks a narrow question: over an observation period, did the plan's population behave the way the current assumptions predict it will? We will answer that question one assumption at a time. In scope are the demographic assumptions, meaning mortality among actives, retirees, and beneficiaries, along with retirement, withdrawal, and disability incidence, and the economic assumption for salary increases. For each we will develop exposures and actual-to-expected ratios, divided by age, service, and gender where the counts support the division. For each we will reach one of three conclusions: the experience supports the current assumption; the experience supports a change, and here is the change we recommend; or the experience is too thin to support either conclusion. The third is a legitimate result. Where we reach it we will report it, rather than manufacture a recommendation the data do not carry.

We recommend and you adopt. Nothing in this engagement changes an assumption; that authority sits with you and the plan's trustees, and we will not blur the line. Our deliverables are a report setting out the analysis and our recommendations, and a workbook of the exhibits that support them.

The following are outside scope and are available under separate engagement: the funding valuation itself, and any restatement of the prior valuation on revised assumptions; selection of the investment return assumption, which is properly informed by your investment advisor rather than by us; plan design or cost studies;

and any opinion addressed to a party other than Estes Group and the plan's trustees.

Data and Reliance

The study relies on information you furnish: participant data as of each valuation date falling in the observation period, the decrement records for the years between them, the plan document together with every amendment in effect during the period, and the prior experience study and its exhibits if one exists. We will reconcile the populations year over year and review what we receive for internal consistency. We will not audit it. Where a data item is unavailable, we will assume, and we will disclose both the assumption and the fact that we made it. Data quality governs this schedule more than anything on our side does. We would rather raise a gap with the Estes Group staff in the first weeks than work around it in the last.

Approach

We will fix the observation period and the decrements to be studied with your staff before any measurement begins, then build exposures from the data as furnished. Analysis follows: actual against expected for each decrement, with a statement of credibility set beside each result rather than buried behind it. We will walk you through preliminary results before anything is drafted for the trustees. The report will separate what the data show from what we have assumed and from what we conclude, and it will label which is which. That is not a stylistic preference. A reader of an actuarial report is entitled to know where measurement ends and judgment begins.

Professional Standards

The work will be performed in accordance with the Actuarial Standards of Practice, including those governing the selection of demographic and economic assumptions and the quality of the data relied upon. I am the actuary responsible for the study. My opinion will be signed and qualified as those standards require, and the qualifications in it are there because they are accurate, not because they are cautious.

Engagement Team

David Sherman, Senior Analyst, will run the study and own the data: reconciliation, exposures, and the actual-to-expected development. Jeffrey Ochoa, Actuarial Analyst, will take the plan provisions and the assumption analysis, and will draft the sections of the report written for readers who do not do this work for a living. Megan Dudley, Actuarial Associate, will build the exhibit workbook. Your staff will hear from David Sherman first and most often, and he is the right person for any question about a file. Questions of judgment come to me.

Fees and Payment

Our fee for the work described above is $65,000, fixed. It covers the report, the exhibit workbook, one round of review comments from your staff, and one presentation of the results. We will commence on February 4, 2019, and the work runs roughly four months from commencement. We will invoice monthly against progress, and invoices are payable within thirty days of receipt. Work outside the scope described above will not be performed on this fee. We will not begin any such work without your written authorization and a fee agreed in advance. If the data arrive materially incomplete and remediation requires effort we have not contemplated here, you will hear it from us before we incur it, not on an invoice afterward.

Term and Termination

The engagement begins on the date stated above and ends on delivery of the final report and workbook. Either of us may terminate on written notice to the other. On termination you will owe fees for work performed through the date of the notice, prorated against the fixed fee, and we will deliver the work product in its then-current condition, marked as a draft. A draft is not an opinion. It may not be relied upon or distributed as one.

Confidentiality

Participant data and everything else you furnish are confidential. We will use them only for this engagement, disclose them only to the members of the engagement team named above, and retain them under our record retention policy. This obligation does not extend to information that is already public or that we are required to disclose by law or by the standards of our profession. If we are compelled to disclose, you will hear from us first wherever we are permitted to tell you.

Limitation of Liability

Our aggregate liability arising out of this engagement, on any theory, is limited to the fees paid to us under it. Neither of us is liable to the other for consequential, incidental, or punitive damages. This paragraph does not limit liability for fraud or willful misconduct, and it does not touch our obligations under the professional standards described above. Those run to our profession and are not ours to contract away.

Governing Law

This engagement is governed by the law of the state in which Estes Group maintains its principal office, without regard to its conflict of laws provisions.

If this letter reflects our agreement, please sign both copies where indicated and return one to me. We will be ready to begin on the date stated above. If any paragraph here reads differently on the page than it did in conversation, call me before you sign it. That is a shorter conversation now than later.

Sincerely,

Robert Lawrence
Managing Actuary
Date: January 25, 2019

Barbara Hall
Chief Operating Officer, Estes Group
Date: January 25, 2019